Questionnaire

Section A: Your situation (ability to take risk)

Q1. What is your age group?

	Answer	Points
A	Under 30	4
B	30 to 44	3
C	45 to 59	2
D	60 or above	1

Q2. When will you first need a large part of the money you are setting aside (for a house, education, retirement or similar)?

	Answer	Points
A	More than 15 years from now	4
B	Between 8 and 15 years	3
C	Between 3 and 7 years	2
D	Within the next 3 years	1

Q3. How would you describe your income (or the income of the person who supports you) for the next few years?

	Answer	Points
A	Very steady and likely to grow	4
B	Mostly steady	3
C	Varies from year to year	2
D	Uncertain, likely to fall, or I have no regular income	1

Q4. How many people depend on your income, and how heavy are your fixed commitments (rent, loan repayments, school fees)?

	Answer	Points
A	Nobody depends on me and my commitments are light	4
B	One or two dependents, or commitments I can manage comfortably	3
C	Several dependents, or commitments that take up a large part of my income	2
D	Most of my income is already committed and others rely on me fully	1

Q5. If you lost your income tomorrow, how long could you cover your normal living costs from savings or other support, without touching this investment?

	Answer	Points
A	12 months or more	4
B	6 to 11 months	3
C	3 to 5 months	2
D	Less than 3 months	1

Section B: Your attitudes (willingness to take risk)

Q6. You are offered a prize and must choose one of four options. Which would you pick?

	Answer	Points
A	₹50,000 for certain	1
B	A coin toss: 50% chance of ₹70,000, 50% chance of ₹40,000	2
C	A coin toss: 50% chance of ₹1,00,000, 50% chance of ₹20,000	3
D	A coin toss: 50% chance of ₹1,50,000, 50% chance of nothing	4

Q7. You are offered a new job. Which would you most likely take?

	Answer	Points
A	Stay in my secure job, with predictable pay and slow growth	1
B	A similar job with slightly better pay and a small chance of instability	2
C	A growing company with notably higher pay, but a real chance the role disappears within two years	3
D	Start my own venture or join a very early-stage company: it could pay far more or nothing	4

Q8. Imagine you set aside ₹1,00,000 for a long-term goal. A year later, because of a general downturn, it is worth ₹80,000 on paper. What would you most likely do?

	Answer	Points
A	Take out everything to avoid losing more	1
B	Take out part of it	2
C	Do nothing and wait for it to recover	3
D	Put in more, since it is cheaper now	4

Q9. You are waiting two weeks for an important result (an exam, a medical report or a job decision). How do you usually feel?

	Answer	Points
A	Very anxious; it is hard to think about anything else	1
B	Quite uneasy; I keep checking for news	2
C	A little concerned, but I carry on normally	3
D	Calm; I do what I can and move on	4

Q10. Which statement best describes what you want from your savings?

	Answer	Points
A	Protect what I have; I would rather earn little than risk losing any	1
B	Steady, modest growth, with only small ups and downs	2
C	Good growth over time; I can accept some sizeable ups and downs	3
D	Maximum growth; I accept large swings and the possibility of serious losses	4

5. Scoring

Step 1: Add the points

Add the points from all ten answers to get the total risk-tolerance score, R. The lowest possible R is 10 and the highest is 40. Also note the two subtotals: Section A (Q1 to Q5, range 5 to 20) and Section B (Q6 to Q10, range 5 to 20).

Step 2: Convert R to A

A higher score means more risk tolerance, so A must move in the opposite direction. The conversion is linear, with R = 10 mapping to A = 10 and R = 40 mapping to A = 1:

$$A = 10 - 0.3 \times (R - 10)$$

Round A to one decimal place.

Step 3: Assign the basket

Basket	Total score (R)	Resulting A	Meaning
Defensive	10 to 21	6.7 to 10.0	Prefers safety; holds more T-bills
Balanced	22 to 31	3.7 to 6.4	Accepts moderate swings for growth
Aggressive	32 to 40	1.0 to 3.4	Accepts large swings for higher growth

Step 4: Prudence check (recommended)

A person can be willing to take risk without being able to afford it, or the reverse. If the Section A and Section B subtotals differ by 6 points or more, replace R with twice the lower subtotal. The investor should not take more risk than either their situation or their temperament supports. The group can switch this rule off, but it should state which version was used.

Worked examples

Respondent	Section A	Section B	R used	A	Basket
Priya, 27, stable job	17	19	36	2.2	Aggressive
Rahul, 41, mixed	13	14	27	4.9	Balanced
Meena, 58, cautious	8	7	15	8.5	Defensive
Arjun, 30, bold but stretched	7	16	14	8.8	Defensive (prudence rule applied)

6. How A is used in the portfolio model

- A enters the utility function U = E(Rp) − 0.5 × A × variance, so a higher A penalises portfolio variance more heavily.
- A sets the equity share y = (E(Rp) − Rf) / (A × portfolio variance), capped at 100% so there is no leverage. The remainder goes to the 91-day T-bill.
- The basket (defensive, balanced or aggressive) selects which recommended portfolio is shown, and the starting point and speed of the glide path in the SIP plan.
- One consistent risk-free rate is used throughout, as set out in the project brief.

7. Assumptions and limitations

- The 1 to 10 scale for A and the linear conversion are the group's stated assumptions. They are not a measured constant of human behaviour, and a different scale would shift the weights.
- Answers are self-reported and can be affected by mood, recent market news or the wish to look bold. The consistency between Q6, Q7, Q8 and Q10 helps to flag this.
- The questionnaire captures one moment in time. Respondents should retake it after major life events (marriage, a child, a job change, retirement) and otherwise every two to three years.
- The questionnaire is for educational use within this project and is not personalised financial advice.

Arjun’s total of 23 would have given A = 6.1 (Balanced). The prudence rule applies because his Sections differ by 9 points, so R = 2 × 7 = 14.

Appendix: Scoring sheet

Question	Section	Option chosen	Points
Q1	A: Situation		
Q2	A: Situation		
Q3	A: Situation		
Q4	A: Situation		
Q5	A: Situation		
Q6	B: Attitude		
Q7	B: Attitude		
Q8	B: Attitude		
Q9	B: Attitude		
Q10	B: Attitude		

Result	Value
Section A subtotal (5 to 20)	
Section B subtotal (5 to 20)	
Total score R (10 to 40)	
Prudence rule applied? (Yes / No)	
R used	
A = 10 − 0.3 × (R − 10)	
Basket	